billion times higher than two years earlier.[17] This inflation was so severe that paper German currencies (the Deutsche Mark) were more valuable as stove fuel than as actual money.[18] Some recent examples of hyperinflation had been the Bolivian inflation of mid-1985 (24000 per cent per annum) and the Yugoslavian inflation of 1993 (20 per cent per day).[19]

Such an inflation quickly leads to a complete loss of confidence in the domestic currency and people start opting for other forms of money, as for example physical assets, gold and foreign currency (also known as "inflation proof" assets) and people might switch to barter exchange.[20]

OTHER VARIANTS OF INFLATION

Other than the three broad categories we analysed above, some other variants of inflation are also considered by governments in their policy making:

I. Bottleneck Inflation

This inflation takes place when the supply falls drastically and the demand remains at the same level. Such situations arise due to supply-side accidents, hazards or mismanagement which is also known as 'structural inflation'. This could be put in the 'demand-pull inflation' category.

II. Core Inflation

This nomenclature is based on the inclusion or exclusion of the goods and services while calculating inflation. Popular in western economies, core inflation shows price rise in all goods and services excluding ***energy*** and ***food articles***. In India, it was first time used in the financial year 2000–01 when the Government expressed that it was under control—it means the prices of manufactured goods were under control.[21] This was criticised by experts on account of excluding food articles and energy out of the inflation and feeling satisfied on the inflation front. Basically, in the western